



Time: 5 minutes

Outcome: Trace output gaps and self-correction toward natural output.

Difficulty: ●●○ Intermediate

Long-Run Macroeconomic Adjustment



THE CORE IDEA

When output differs from potential, wage and price adjustment can shift short-run aggregate supply and return the economy toward natural output. Output above potential creates upward pressure on wages and costs, shifting short-run aggregate supply left. Output below potential weakens wage and cost pressure, shifting it right. This self-correction changes the price level while returning output toward its long-run capacity.



HOW TO RECOGNIZE IT

- Compare current output with potential output to identify an inflationary or recessionary gap.
- Above potential, rising wages and input prices shift short-run aggregate supply left over time.
- Below potential, falling wage and price pressure shifts short-run aggregate supply right over time.
- Long-run adjustment changes the price level and returns output toward potential without shifting long-run aggregate supply.

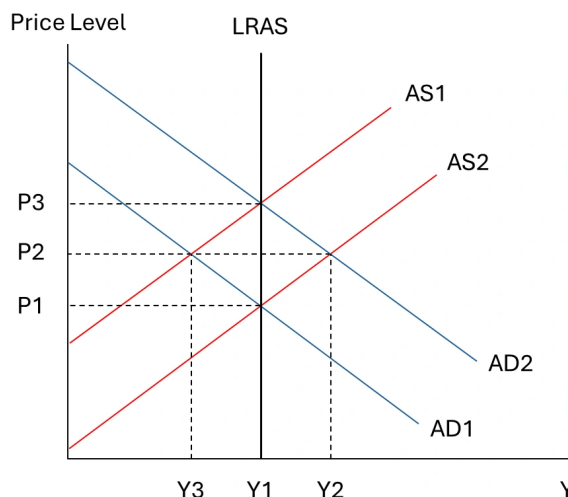


WATCH OUT

A common mistake is to attribute every return to potential output to active policy. Self-correction is an endogenous wage-and-price adjustment; stabilization policy is a separate deliberate action.



WORKED EXAMPLE: RETURNING OUTPUT TO POTENTIAL



After demand falls from AD2 to AD1, the short-run equilibrium is at Y3, below natural output Y1, with price level P2. High unemployment puts downward pressure on wages, shifting short-run supply from AS1 to AS2. The economy then returns to Y1 along AD1 at the lower price level P1.



CHECK YOURSELF

Refer to the graph with LRAS. Which output level is natural output?



READY?

Return to the game and master this concept.